

Research briefing | UK

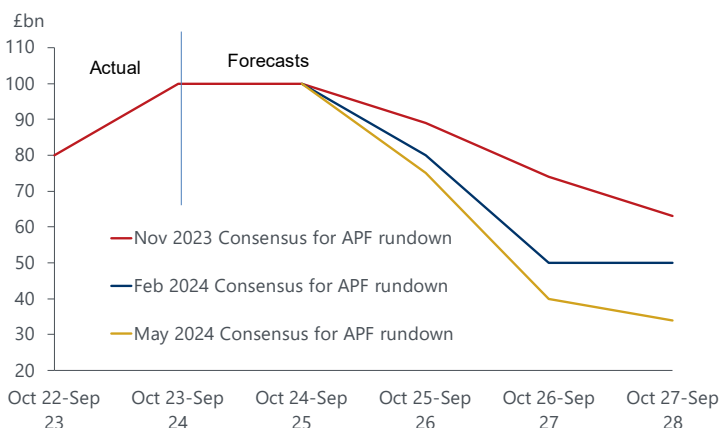
Will the BoE slow QT?

- The consensus expectation is that the Bank of England will markedly slow the pace of quantitative tightening, which entails the rundown of gilts held in the Bank's asset purchase facility (APF). The consensus view of APF rundown can be largely met through redemptions of these gilt holdings, implying that APF gilt sales will fall to very low levels from October this year. In our view, the consensus is wrong, and we expect QT to remain around the recent pace.
- Several arguments are used in favour of slower APF rundown, including anxiety at the losses crystallised by APF gilt sales and the view that ongoing QT seems inconsistent with the prospect of lower interest rates. Another is the risk that continued APF rundown will push banks' reserves at the BoE below desired levels, causing undesirable upward pressure and volatility on short-term interest rates. Slower APF rundown could also help the government meet its fiscal rules.
- However, we suspect the consensus view is misplaced. The BoE's intention seems to be to continue to reduce gilt holdings in the APF steadily, by around £100bn per year, until they fall to zero early next decade.
- The BoE is likely to use a major expansion of short-term repos, rather than maintain a persistently large gilt portfolio, as the counterpart to a persistently high level of bank reserves. Holding APF gilts to maturity probably wouldn't lower the net present value of APF losses and would leave the BoE with undesirably high exposure to interest rate risk over several decades. The unintentional effect of APF gilt sales in limiting the government's fiscal space is more likely to be resolved by tweaking the fiscal rules to exclude losses on gilt sales, rather than delaying the APF unwind.
- The BoE of course has flexibility to pause QT at any point if strains emerge in money markets. But any such pause would probably be short, and within a multi-year process of APF unwind.

The process of unwinding the Bank of England's quantitative easing programs began in late 2022, with a mix of sales and redemptions of the bond holdings in its asset purchase facility (APF). So far, APF gilt holdings have been reduced by £80bn in 2022-2023 (along with £20bn of corporate bonds), and a target of £100bn for the 12 months ending September-2024. The Monetary Policy Committee has previously said it [intends to review the unwind process](#) no later than two years after it began, and so this will probably be at the September meeting. Now, speculation is growing that the BoE will markedly slow the pace of APF unwind in the next few years. So what are the pros and cons of such a change, and is it likely?

Chart 1: The consensus expects the BoE will slow the rundown in APF gilt holdings

UK: Consensus forecasts for annual drop in APF gilt holdings



Sources: Oxford Economics/Haver Analytics

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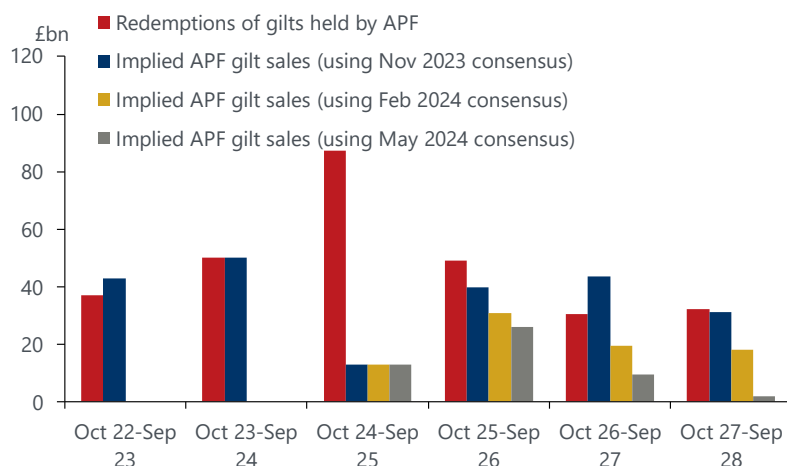
The consensus expects a marked slowdown in APF asset sales

A frequent question from our clients is whether the BoE will slow the pace of asset sales, also known as quantitative tightening, similar to the [Federal Reserve's recent decision](#) to slow the decline in its holdings of securities. Indeed, the consensus now seems to expect this will happen after next year. For example, the BoE [MAPS survey](#) (market participants survey) suggests that the annual drop in APF gilt holdings will stay around the current pace (£100bn over Oct-2023 to Sep-2024) in the next year (from Oct-2024 to Sep-2025), but then slow to £75bn in the year to Sep-2026, £40bn in the year to Sep-2027, and £34bn in the year to Sep-2028.

These consensus forecasts imply that future APF rundown could be almost totally achieved passively through redemptions of APF gilt holdings. Active rundown, through gilt sales, would be minimal. Redemptions total £87bn for the year from Oct-2024 to Sep-2025 (versus consensus expectations of £100bn APF rundown), and average £37bn over the subsequent three years (versus consensus expectations of £50bn APF rundown per year). Hence, the consensus view implies that APF gilt sales will fall from £40bn-£50bn per year in 2022-2023 and 2023-2024 to £13bn during Oct-2024 to Sep-2025 and an average of £12bn-£13bn per year thereafter.

Chart 2: Consensus forecasts imply that APF gilt sales will diminish markedly

UK: APF gilt sales and redemptions



Sources: Oxford Economics / Haver Analytics

The consensus that APF rundown will slow has strengthened in recent months. For example, the consensus forecast for the aggregate drop in APF gilt holdings over the three years from Oct-2025 to Sep-2028 has shrunk to £149bn (£50bn per year average) from £226bn late last year (£75bn per year average). With the level of APF gilt holdings scheduled to be £658bn in September this year, these readings imply that the consensus forecast for the level of APF holdings at Sep-2028 has risen from £332bn last November to £409bn now.

These consensus forecasts imply a much smaller APF rundown than the [OBR's baseline](#), which assumes that APF gilt holdings fall by about £100bn per year until the OBR's forecast horizon (currently 2028/2029). [BoE speeches](#) and the [APF quarterly reports](#) also typically assume APF gilt holdings will continue to fall by £80bn-£100bn per year in the coming years until the APF is fully unwound early next decade.

In contrast, there has been little change in consensus expectations for the reduction in the ECB's balance sheet. Indeed, the consensus forecast for the ECB's aggregate holdings of securities under the asset purchase program (APP) and pandemic emergency purchase program (PEPP) facilities at end-2027 have fallen slightly, from €3109bn last October to €3048bn in May this year, implying a slightly faster pace of rundown.

Why should the BoE slow APF rundown?

Three main arguments are often advanced to explain why the BoE will choose to taper APF rundown.

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The first is that it seems illogical to continue the current pace of APF rundown (which may tighten financial conditions) while also cutting Bank Rate to support growth and loosen financial conditions.

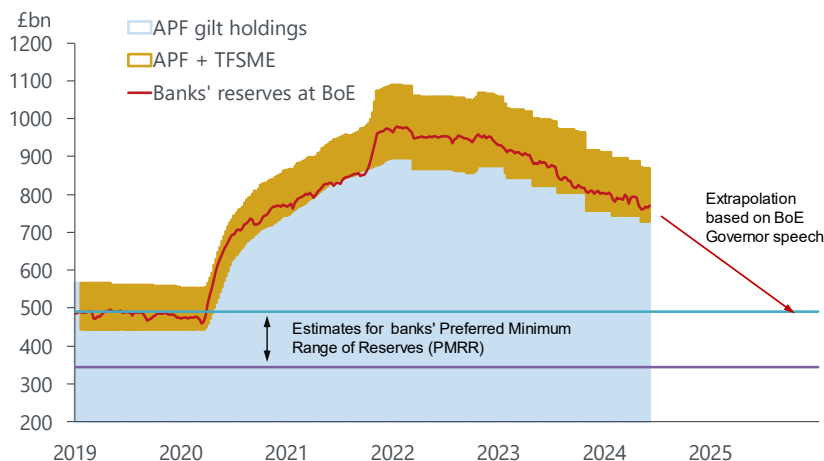
The second is that the current pace of APF rundown with yields around current levels will crystallise large APF losses, which add significantly to public debt and cuts the government's fiscal space – its margin within the [fiscal rules](#) that require the public debt ratio to be falling five years ahead. As a result, QT would be acting to put fiscal policy on an undesirably restrictive path. Hence, this argument goes, the BoE should adopt a 'value for money' approach and scale back gilt sales if yields remain relatively high. For example, in February this year, the [Treasury Select Committee](#) argued "the Bank and Treasury should explore how criteria on value for money and the spending power of the Treasury could be included in decisions about the ongoing pace and timing of QT."

The third argument is that unless offset by other BoE facilities, the current pace of APF rundown may soon leave banks with inadequate reserves at the BoE, potentially adding upward pressure and volatility to short-term interest rates.

APF asset sales reduce banks' reserves one-for-one, while reserves also are being lowered by repayments of the Term Funding Scheme (TFSME). The current level of reserves (£771bn) is well below the peak (£980bn in early 2022). Reserves remain far above pre-global financial crisis levels (typically around £20bn), but banks desired holdings of reserves are much higher now than then. [BoE surveys of banks](#) suggest that bank's aggregate desired reserve holdings (i.e., the preferred minimum range of reserves; PMRR) are in a probable range of £345bn-£490bn. [BoE Governor Andrew Bailey](#) recently noted that, with £100bn of APF rundown per year and the contractual TFSME maturities, banks' reserves at the BoE are likely to fall to the top of that PMRR range before end-2025. Indeed, the recent rise in take up of the BoE's short-term repo (STR) facility to £16.2bn from £2bn-£3bn in March is, to some, a sign that the PMRR may be higher than expected, with banks tapping the STR to prevent their reserves falling too far.

Chart 3: Banks' reserves may fall to the top of the range of sustainable levels by end-2025

UK: Rundown of APF and TFSME is reducing banks' reserves



Sources: Oxford Economics/Haver Analytics

Hence, this argument is that APF rundown should now proceed more slowly to limit risks that inadequate STR take up leaves banks short of reserves and hence creates undesirable upward pressure on short-term interest rates.

The consensus view of slower APF rundown would allow a large stock of APF gilt holdings to be retained and transferred to the BoE balance sheet. In this case, the persistently higher level of banks' reserves (an interest-bearing liability on the BoE balance sheet) would be matched by a persistently higher level of gilt holdings (an interest-bearing asset). This would be akin to the likely US model, see [here](#) and [here](#).

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Why would slower APF rundown matter?

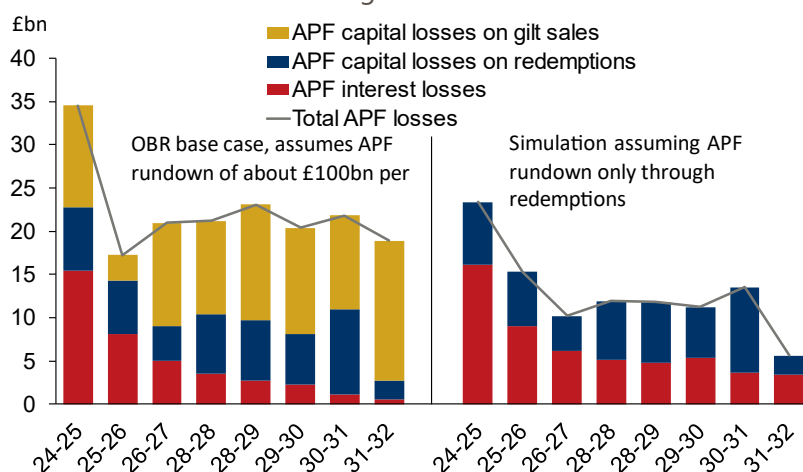
For the BoE, APF rundown is intended to be as boring as watching paint dry, with little or no implication for the economy and macro policy. However, in practice, the pace of APF gilt sales has a very powerful effect on fiscal policy. This is because the APF's losses on its gilt holdings add directly to public debt when those bonds mature or are sold, and hence the pace of gilt sales determines when those losses are recorded (see [here](#) and [here](#)). This affects the government's ability to hit its fiscal rule that the debt ratio must be falling five years ahead – a target that both Labour and the Conservatives have committed to. So slower APF rundown in the next five years would imply less upward pressure on public debt in that period and thereby make it easier for the government to hit its fiscal rules.

The OBR's latest forecast from March this year assumed that APF rundown will stay around £100bn per year on average in the next few years, with gilt sales of £40bn-£50bn per year and a similar pace of redemptions. In this case, APF capital losses will average about £17bn per year, with APF interest losses falling from £15bn this year close to zero in 2030/2031. These expected APF capital losses largely reflect gilt sales rather than redemptions. For example, at current gilt prices, APF gilt holdings that mature in the next three years (ie by mid-2027) have an average loss rate of 10%. By contrast, APF gilt holdings that are available for sale (the APF only sells gilts with maturity beyond three years) have an average loss rate of 31% due to their longer duration.

If APF gilt sales end, such that its rundown only occurs passively through redemptions, then the APF's capital losses would shrink by an average of £11bn-£12bn per year, reducing this upward pressure on public debt. The APF's interest losses would rise slightly (by an average of £1bn-£2bn per year), because it would hold a larger stock of gilts financed by reserves. But the net effect would be to reduce the extent to which APF losses add to public debt by about £10bn per year (see [here](#) for a similar calculation). To be sure, such a shift would slightly raise the fiscal deficit, because this includes the APF's interest losses but not its capital losses. However, at present, it's the debt rule, rather than the deficit target that is constraining fiscal policy. Hence, a shift that lowers debt and raises the deficit would make it much easier for the government to achieve its target of a falling debt ratio five years ahead, creating more fiscal space for tax cuts or extra spending while still meeting those rules.

Chart 4: If APF gilt sales end, fiscal space will increase by about £10bn per year

UK: How would end of APF gilt sales affect APF losses?



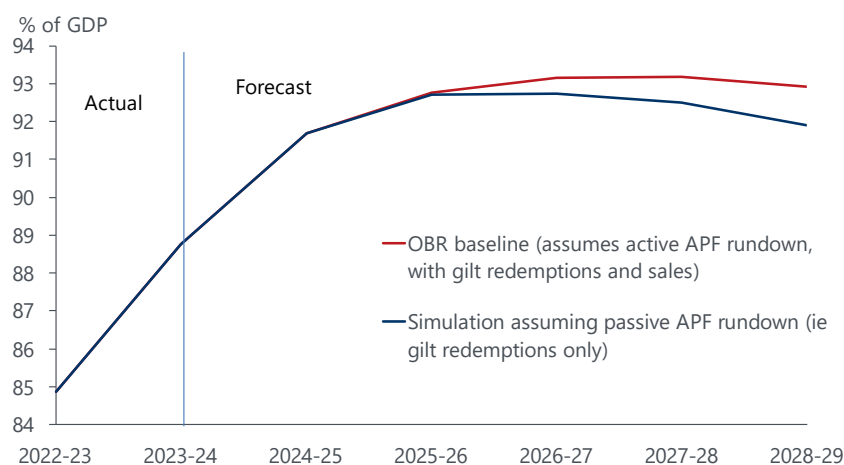
Source: Oxford Economics

To illustrate this, **Chart 5** shows the OBR's baseline forecast for the public debt/GDP ratio from the March 2024 Budget (which assumed APF rundown through gilt sales and redemptions), along with a simulation that assumes APF rundown occurs only through redemptions, with zero gilt sales after the current fiscal year (and everything else is unchanged). In the alternative, the public debt/GDP ratio starts to decline in 2027/2028, a year earlier than the OBR baseline, and falls more sharply in the fifth year of the forecast (2028/2029).

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Chart 5: If APF gilt sales end, the debt/GDP ratio will start to fall earlier than the current baseline

UK: Public debt/GDP ratio with and without APF gilt sales



Sources: Oxford Economics/Haver Analytics

Is slower APF rundown likely?

At present, it seems unlikely that the BoE will significantly slow the rundown of the APF gilt holdings. The BoE's starting point is that it's preferable to unwind QE when financial conditions allow and the policy rate is away from the Effective Lower Bound (ELB), in order to avoid a lasting distortion to public sector interest rate risk and to ensure there is always adequate space to use QE if needed (see [here](#) and [here](#)). Moreover, given the long maturity of the APF gilt holdings, passive unwind by redemptions only would imply an [exceptionally drawn out unwind](#) over several decades.

We doubt the arguments noted above to slow or end the rundown in APF gilt holdings will sway the BoE from this approach.

First, the BoE believes that QT has little or no impact on monetary conditions and hence it's not inconsistent to sell gilts and cut Bank Rate at the same time. Deputy Governor Dave Ramsden [argued last year](#) that £80bn of QT would probably increase 10 year gilt yields by less than 10bps, with an eventual effect on inflation of less than 0.1ppt. Moreover, if there is any small disinflationary effect from QT then, unless Bank Rate is close to the ELB, it can be offset by setting Bank Rate slightly lower than it otherwise would be. This point was [recently reiterated](#) by Deputy Governor Ben Broadbent: "QT is not designed to be an active instrument of monetary tightening. And if that means anything at all, it means precisely that it can continue to trundle along while the overall level of monetary conditions is determined as necessary by ups and downs in Bank Rate".

Second, the BoE rejects the idea that holding APF gilts to maturity is likely to represent better value for money than selling them. The APF gilt portfolio has an average yield (versus its purchase price) of about 2%. Since those bonds were bought, interest rates have risen and gilt prices have fallen. If Bank Rate follows the path implied by markets (which is well above 2%), the net present value of APF losses will be similar if its gilts are held to maturity or sold. If they are sold, this crystallises those losses. If the bonds are held to maturity, the APF would have a persistent shortfall in interest income in the coming decades, because the income from its assets (gilts) will be well below the cost of its liabilities (which earn Bank Rate). This shortfall would persist until the last APF gilt matures in 2068.

Of course, a hold-to-maturity strategy might turn out to be profitable for the APF if yields fall in the coming decades. But it might just as equally make things worse if yields rise further. It's not really feasible to expect the APF to successfully adopt a market-timing approach, seeking to sell more gilts when yields are temporarily lower and fewer when yields are higher. The patchy record of active fund managers suggests that such market timing is unlikely to persistently succeed. In any case, a strategy that requires the APF to lower its losses by selling more gilts when interest rates are falling would worsen the apparent inconsistency between high gilt sales and falling Bank Rate noted above. Moreover, by raising uncertainty

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over the pace of gilt sales, it may inflict an additional risk premium on yields. The Debt Management Office has a long-held practice of making gilt sales predictable for these reasons.

The argument that QT should slow to increase the government's fiscal space is unlikely to carry much weight with the BoE. The BoE is independent in these decisions and is unlikely to distort its balance sheet policy for political aims.

Third, although the level of reserves is likely to remain permanently high, and hence the BoE will need to hold a sizeable portfolio of assets to back these reserves, the APF gilt portfolio is not a suitable asset to fulfil this role. The APF gilt portfolio is fixed rate and quite long-dated. If £400bn-£500bn of this was used to back a similar level of reserves (which pay interest at Bank Rate), then, [as the Governor recently noted](#), the BoE would be subject to significant interest rate risk in coming decades, because it would have floating rate liabilities and long-term, fixed-rate assets. With £400bn-£500bn of reserves backed by a similar amount of gilts, each 1ppt rise in Bank Rate would increase the BoE's losses by £4bn-£5bn per year, requiring regular capitalisations from the government. This might create perceptions that the BoE would be reluctant to raise rates to control inflation. Such an outcome would probably pose a bigger threat to the BoE's reputation than upfront APF losses, which are covered by a government indemnity.

Rather than hold a large gilt portfolio indefinitely, the BoE is likely to expand its repo facilities, especially the short-term repo (STR) facility, to maintain a large balance sheet while it shrinks the APF gilt portfolio. The STR has a floating rate, with banks paying Bank Rate to use it. Using repos rather than gilt holdings to back reserves would allow the BoE to run a large balance sheet without incurring sizeable interest rate risk.

Certainly, the BoE did use to hold gilts as a key asset to back banks' reserves before QE was launched in 2009. However, the size of bank reserves and BoE gilt holdings then was far lower than now: for example, at end-2006, just before the GFC, BoE assets included £7.8bn of bonds (versus APF gilt holdings of about £700bn now), and its liabilities included £20.1bn of banks' reserves (now about £770bn). Back in 2006, effects of the BoE's aggregate profits from any mismatch between the yields on its assets and liabilities were relatively small. Now these effects are large enough to matter.

For the US, it would be less problematic for the Fed to maintain a large portfolio of its securities holdings to balance a higher level of reserves. This is because the Fed's securities portfolio is much shorter duration than the APF gilt holdings, and hence any potential interest rate mismatch between the central bank's assets and liabilities would be smaller than if the UK used the APF gilt portfolio. Moreover, unlike the BoE, the Fed has other revenue sources (e.g., seigniorage) that could cover any temporary losses from its asset holdings.

What we expect to happen

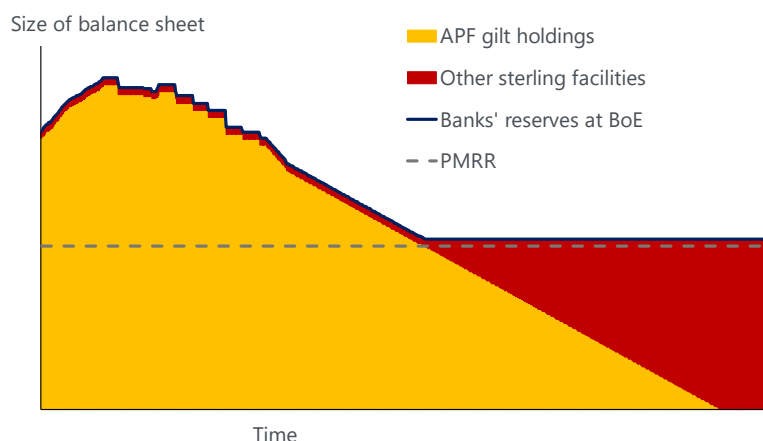
We expect the MPC will conclude at the September meeting that APF unwind has proceeded smoothly so far, with limited effect on market conditions, and should continue along the current parameters. Given that, the MPC will set its target for APF rundown in the year from Oct-2024 to Sep-2025. This will probably either remain at £100bn or rise slightly to limit the drop in gilt sales given that redemptions will total £87bn. The MPC do not need to set a target for APF rundown in subsequent years at that meeting. But, considering market scepticism over future APF rundown, the MPC may take the chance to highlight its intention to fully rundown the APF in the coming years.

At present, we believe the most likely outcome is that the APF gilt holdings will continue to be run down by about £100bn per year, until they fall to zero early next decade. This is likely to imply continued sizable gilt sales in coming years, well above consensus expectations. As the unwind proceeds, the downward effect on the BoE balance sheet will be offset by the further expansion of repo facilities. Eventually, the repo facilities would become very large – probably several hundred billions. But this would not be immediate. The handover from gilt holdings to repos on the BoE balance sheet would take several years, perhaps from late next year (when banks reserves fall to the PMRR) to early next decade (when APF gilt holdings fall to zero).

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Chart 6: BoE likely to use repos to maintain banks' reserves while APF runs down

UK: Stylised outlook for BoE balance sheet



Sources: Oxford Economics / Haver Analytics

The link from the pace of APF gilt sales to fiscal policy may well be broken by [excluding APF losses](#) (especially capital losses on gilt sales) from the debt rule used for fiscal policy. In this case, the pace of APF gilt sales would have no implications either way for the government's ability to hit its fiscal rules. This change could happen after the forthcoming election in the context of a general tightening-up of the fiscal rules.

One caveat is that the BoE might decide to retain a very limited part of the APF gilt holdings (eg up to £150bn or so) on the BoE's main balance sheet more or less indefinitely. Gilts could be used to partly back the supply of notes and coin (currently £88bn), which effectively are a perpetual liability which pays zero interest. Hence, backing these with bonds implies no interest rate risk, akin to the approach outlined by the [Bank of Canada](#). And some short-dated gilts could remain as a limited part of the assets used to back banks' reserves. If, for example, the future steady state level of banks' reserves is £450bn, then the BoE's balance sheet might include, say, £50bn of short-dated gilts and £400bn of repos. This would slightly limit the extent of required repo rollover, and the extent to which banks' assets must be ear-marked as collateral for repos, without creating an overly large mismatch between the maturity of BoE assets and liabilities. Such a transfer from the APF to the BoE balance sheet would probably occur at market prices, hence crystallising APF losses in the same way as if the bonds were sold. It would still imply that the APF is run down to zero, but that a limited part of this rundown occurs through transfers to the BoE (with most of it via redemptions and sales). And it would still imply that APF rundown and gilt sales in the coming years will be well above consensus expectations.

What could change things?

As always, there are uncertainties. In particular, the BoE and UK banks have not previously operated a system with large reserves matched by large repo facilities. We had low levels of both pre-GFC, and have had high reserves matched by APF gilt holdings since then. A key issue in determining whether the BoE will maintain its strategy of full APF rundown is whether the expansion of its repos will be sufficiently smooth and rapid to ensure banks have adequate reserves, and to maintain short-term money market rates sufficiently close to Bank Rate. If, for whatever reason, banks' take up of the STR is inadequate, then APF rundown could cause unusual volatility in short-term interest rates. In this case, the BoE could slow or pause APF gilt sales, and if necessary, adjust its repo facilities. This would fit within the BoE's existing flexibility over the timing of APF gilt sales within each year, without necessarily affecting the multi-year path.